



Qualification Programme Examination Panelists' Report

Module D –Taxation (June 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This section covered a range of topics, including analysis on the regulatory and operational frameworks of aircraft leasing activities, computation of salaries tax liabilities, discussions on salaries tax and profits tax implications of shares award and termination payment to staff, analysis on source of income from profits tax perspective, and generic ethical considerations for tax practitioners. The contents of the case were structured to accommodate the flow of the questions. The overall performance in this section was fair. As expected, performance on questions on computation, specific items on salaries tax and generic ethical considerations for tax practitioners was above average, whilst performance on questions requiring qualitative evaluation and those on new topics, such as analysis on source of income and aircraft leasing activities respectively, was below expectation. The divergence of outcomes reflected that candidates' preparation for new topics and qualitative analysis were still inadequate.

Specific Comments

Question 1(a) – 6 marks

This question required candidates to discuss the regulatory framework with respect to the concessionary tax treatments of aircraft leasing activities. The performance in this question was below expectation. Only some candidates precisely discussed the relevant provisions in the IRO regarding the framework of the concessionary tax treatments. Some candidates discussed provisions irrelevant to the concession, while others discussed the operational framework which was relevant to part (b) of this question. Essentially the key terms in this question were “concessionary tax treatment” and “aircraft leasing activities”. Candidates should identify the key terms in the question and structure their answer with reference to the relevant contents.

Question 1(b) – 6 marks

This question required candidates to identify the operational requirements in order to enjoy the respective concessionary tax treatments. The performance in this question was considerably below expectation. Many candidates did not score any marks, and others provided largely irrelevant discussions in their answers. Specifically some candidates focused on aircraft leasing activities to be conducted by CNHK, and

discussed about safe harbour rule. These were inconsistent with the information provided in the case.

Question 2 – 12 marks

This question required candidates to compute the salaries tax liabilities pursuant to the information provided in the case. The performance in this question was satisfactory. Candidates generally could follow the standard methodology for performing the computation under the time-apportionment basis. However, many candidates failed to calculate and include the number of vacation days outside Hong Kong attributable to services in Hong Kong.

Question 3(a) – 6 marks

This question required candidates to analyse the salaries tax implications of shares award and termination payment. The performance in this question was very satisfactory. Candidates generally could identify the relevant contents and analyse them in the proper contexts along with the facts provided in the case. Some candidates mixed up the facts regarding staff A and staff B, and others provided answers strictly relevant to Question 3(b). These answers demonstrate that candidates might only focus on reading the question requirement and then prepare the answer, whilst neglecting to refer back to the facts in the case.

Question 3(b) – 5 marks

This question required candidates to analyse the deductibility of the abovesaid employee related expenses from profits tax perspective. The performance in this question was fair. Specifically, many candidates could only identify the general deduction provision in the IRO, and failed to elaborate the distinctive nature between “equity-settled” and “cash-settled” share based payment. Some other candidates extended their discussion in Question 3(a) herein, and provided irrelevant answers.

Question 4 – 10 marks

This question required candidates to analyse the source of income from profits tax perspective based on the information provided in the case. The performance in this question was below expectation. Generally candidates were able to refer to s.14 of the IRO and operations test in answering this question. Yet the answers were generally brief and inadequate, and essentially lacked the analysis on “effective cause” and “operations do not comprise the whole of the taxpayer’s activities carried out in the course of his business” as identified in the DIPN No. 21. The inadequate discussion on relevant legal principles inevitably affected their application of these rules and principles to the facts in the case. Candidates should also note that in the examination contexts, and without having full and comprehensive information for analysis, the conclusion of their answer should be provided together with proper assumptions.



Question 5 – 5 marks

This question required candidates to discuss the ethical considerations of a tax practitioner in accepting a tax advisory engagement. The performance of this question was very satisfactory. Many candidates precisely identified the relevant considerations in line with the relevant Code of Ethics. However, only a few candidates could point out the intimidation threats on the fairness of the tax consultancy services pursuant to the facts in the case.

(II) Section B – Essay/Short Questions

General Comments

This section covered a wide range of contents including the eligibility of the claims for dependant parent allowance (“DPA”) and disabled dependent allowance (“DDA”) under salaries tax, computation of assessable value with discussion on the treatment of management fee under property tax, computation of allowances granted in respect of commercial building under profits tax and issues related to double taxation agreement (“DTA”) with the Mainland of China. As usual, candidates gained satisfactory marks in answering the computational questions. The performance in other parts was generally fair. Nonetheless, it was noted that candidates did not present their answers well with reference to the basic principles or relevant provisions. Candidates were also very weak in the knowledge of DTA which resulted in an unsatisfactory performance in that part of question.

Specific Comments

Question 6(a) – 8 marks

This question required candidates to ascertain the eligibility of claim for DPA and DDA by two siblings and discuss the issue of multiple claim. The performance in this section was generally satisfactory. Candidates were capable of demonstrating the general knowledge of the criterion of DPA claim including the age threshold and residency requirement. Some candidates did not have a clear concept of DDA claim and misinterpreted that the conditions for DDA claim have yet to be fulfilled unless the dependant has claimed an allowance under the Government’s Disability Allowance Scheme. Candidates should be careful in reading the relevant provisions to avoid any misinterpretation.

Question 6(b) – 4 marks

This question required candidates to ascertain the claimants’ entitlement to DPA claim under two scenarios in respect of multiple claims, and state the required supporting documents. The performance in this question was below expectation, as some of the candidates appeared to have lost their focus. For Scenario 1, quite a number of candidates copied the answer in Question 6(a) again as reason to accept the elder brother’s claim which was irrelevant to the question. As a result, the



candidates incorrectly put forward the documents required for proving the eligibility of DPA and DDA claim such as evidence proving the maintenance of the dependant and her disability conditions. For Scenario 2, most candidates misinterpreted that the dependant's statement for nominating the claimant was relevant to resolve multiple claim of DPA.

Question 7(a) – 9 marks

This question required candidates to discuss the taxability of management fee under property tax. The performance of this question was satisfactory. Many candidates elaborated the answer with citation of relevant provisions and correctly recognised that the management fee should not be included in the computation of assessable value of the landlord unless it was a consideration payable to the landlord in respect of the right of use of a property. Competent candidates were able to elaborate on the tax implication where the management fee was included in the monthly rent as a lump sum consideration from the tenant, and the landlord was liable to pay the fee to the management services provider without any right to claim for a repayment from the tenant. However, some other candidates mixed up the facts of each of the properties in answering the question. Some candidates incorrectly discussed the issue from the perspective of profits tax, which was irrelevant to this question.

Question 7(b) – 5 marks

This question required candidates to compute the assessable value and net assessable value ("NAV") of the properties based on the given facts. The performance of the candidates in this question was slightly below expectation. Some candidates were not familiar with the computation of NAV. In particular, their concept about the deductibility of management fee, government rent and rates was not solid. Some candidates made a fatal mistake to present the computation on a consolidated basis. Proper computation of NAV of each of the properties should be presented separately.

Question 8 – 14 marks

This question required candidates to compute the allowances granted in respect of commercial building. The performance in this question was satisfactory with a number of candidates receiving very good marks. However, some candidates erroneously computed the answers by adopting the pooling system for calculation of depreciation allowance. Some candidates did not have a clear concept of balancing charge, which should be restricted to the amount of allowances previously allowed.

Question 9(a) – 5 marks

This question required candidates to discuss the eligibility of claim for tax credit under the DTA between Hong Kong and the Mainland of China and calculate the possible amount of tax credit. Most of the candidates were unable to precisely refer to the relevant provisions of the IRO and article of the DTA to construct their answers. Instead, they incorrectly made reference such as Article 14 of the DTA which was



relevant to the taxing right of the treaty parties only and the provisions in the IRO in relation to offshore claim for salaries incomes. Therefore, just a few candidates were able to perform computation of tax credit. The performance of the candidates in this question was generally poor.

Question 9(b) – 5 marks

This question required candidates to analyse whether Company A had constituted a permanent establishment (“PE”) in the Mainland of China through Mr Wong’s assignment to work therein and, if that was the case, the tax implication on Company A. Most of the candidates were able to identify the issue of PE but jumped to conclusions without going into detailed analysis on Company A’s PE exposure. Except for services PE being correctly mentioned by some candidates, very few candidates had mentioned the fixed place PE and agency PE which had to be taken into account in the PE analysis according to Article 5 of the DTA. It seems that the candidates had merely focused on what was mentioned in the question about the services rendered by Mr Wong in the Mainland of China. Some other candidates incorrectly explained the applicability of tax credit which was irrelevant to this question. The performance of the candidates in this question was below expectation.

(III) Conclusion and Recommendation

Similar to prior examination sessions, candidates generally performed satisfactorily in computational questions, but poorly in question involving new topics. In addition, the performances in questions requiring qualitative analysis, identification of relevant legal principles and applications to relevant factual information provided in the case were still below expectation.

The contents of study in this module have been expanding extensively in line with the new provisions in the IRO. Candidates should properly structure their study for a wider and comprehensive coverage on both the generic and new topics. References to DIPNs are also essential to equip the candidates for a satisfactory result in the examination.